

June 23, 2026 12:31 AM GMT

China Consumer | Asia Pacific

Risk/Reward Update: HPC and Beauty

This report covers our changes for Hengan, C&S Paper, and Shanghai Jahwa.

Hengan (1044.HK; EW): Tissue should remain Hengan's key growth driver, supported by volume growth and share gains, but revenue growth is likely to stay moderate due to ASP pressure from online and new retail channels. Tissue margin should be stable in 2026 due to favorable pulp prices, while sanitary napkins and diapers are still under pressure from intense competition and weak demand. Overall margins may edge down as the company invests more in branding and channel expansion. Despite lukewarm earnings trends and a lack of upside catalysts in the near term, Hengan's commitment to Rmb1.4+/share annual payout, equivalent to ~6% dividend yield now, supports its share price, leading to our EW rating.

C&S Paper (002511.SZ; UW): C&S Paper's revenue growth should remain mostly volume- and share-gain-driven, as smaller players exit, but pricing power remains limited. Online and new retail channels should support volume growth, but higher promotion and sharper pricing may continue to dilute ASP and limit margin upside. Gross margin should stay broadly stable, helped by product premiumization and efficiency gains, though pulp costs and channel competition constrain further GPM upside. Earnings recovery is visible but still moderate, as operating leverage is limited by continued investment in branding, e-commerce, and new retail. We cut earnings estimates by 20%/27% for 2026/27 to reflect slower-than-expected earnings recovery. Given its still-demanding valuation (trading at 24x 2026E P/E) with limited pricing power, low ROE and only modest margin upside, risk-reward is not compelling, and we remain UW.

Shanghai Jahwa (600315.SS; UW): Jahwa is back to growth, driven by online strength and beauty segment recovery, while the recovery remains largely brand-investment led. Beauty brands such as Herborist and Dr. Yu should remain the key growth drivers, while Liushen's offline business is expected to stabilize from the pressure last year. The rising online and Douyin mix is strategically positive, but it also requires continued investment in content, traffic and brand building, limiting near-term operating leverage. Gross margin should improve gradually with a better category mix, but selling expenses are likely to stay high as the company rebuilds brand equity. We cut earnings estimates by 35%/39% for 2026/27 to reflect slower-than-expected earnings recovery, as selling expenses are likely to stay high. With the stock trading at over 35x 2026E P/E, valuation looks demanding relative to limited profit visibility, so we remain UW.

MORGAN STANLEY ASIA LIMITED+

Dustin Wei

Equity Analyst

Dustin.Wei@morganstanley.com

+852 2239-7823

Jenny Yu

Research Associate

Jenny.Yu1@morganstanley.com

+852 3963-1925

Lillian Lou

Equity Analyst

Lillian.Lou@morganstanley.com

+852 2848-6502



CHINA/HONG KONG CONSUMER

Asia Pacific

Industry View

In-Line

WHAT'S CHANGED

C&S Paper Co Ltd (002511.SZ)	From	To
Price Target	Rmb5.60	Rmb5.70
Shanghai Jahwa United Co. Ltd. (600315.SS)	From	To
Price Target	Rmb16.00	Rmb14.00
Hengan International Group (1044.HK)	From	To
Price Target	HK\$24.00	HK\$23.00

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

What's Changed

Exhibit 1: What's changed - Price targets and ratings

Company	Ticker	Rating	PT		Last closing	Up/downside to PT (%)	Currency
			New	Old			
Hengan	1044.HK	EW	23	24	23	-0.9%	HKD
C&S Paper	002511.SZ	UW	5.7	5.6	7	-16.5%	Rmb
Shanghai Jahwa	600315.SS	UW	14	16	18	-20.4%	Rmb

Source: Morgan Stanley Research estimates

Exhibit 2: What's changed - Revenue and net profit estimates (Rmb mn)

Company	Ticker	Currency	Revenue						Net profit					
			2026E			2027E			2026E			2027E		
			New	Old	% chg	New	Old	% chg	New	Old	% chg	New	Old	% chg
Hengan	1044.HK	Rmb	23,967	23,952	0%	24,695	24,549	1%	2,449	2,393	2%	2,491	2,438	2%
C&S Paper	002511.SZ	Rmb	9,646	9,842	-2%	10,410	10,334	1%	365	456	-20%	436	593	-27%
Shanghai Jahwa	600315.SS	Rmb	7,031	6,725	5%	7,735	7,371	5%	330	505	-35%	385	628	-39%

Source: Morgan Stanley Research estimates

Hengan (EW, New Price Target HK\$23.0)

- **Tissue should remain the key growth driver, but quality of growth is mixed.** We expect tissue sales to grow 5.0%/3.5%/4.0% in 2026/27/28. The driver is mainly volume growth, as some small and mid-sized manufacturers exit the market and Hengan, as a leading player, should continue to gain share. However, the rising mix of online and new retail channels is likely to remain a drag on ASP. As a result, tissue revenue growth should stay at MSD% rather than accelerate meaningfully, even though volume growth remains healthy.
- **Tissue GPM should stay broadly stable, but 2025's strong margin improvement is unlikely to repeat.** Tissue GPM improved to 23.0% in 2025, helped by relatively low pulp prices, less promotional pressure and better product mix. Looking into 2026, pulp cost is still manageable but has seen small increases. We therefore do not expect a major margin squeeze, but also do not assume further meaningful upside. We forecast tissue GPM to be 22.5%/23.0%/23.0% in 2026/27/28.
- **Sanitary napkins remain the most challenging part of the business.** Although hygiene products showed some improvement in 2H25, we think this was more due to a low base rather than easing competition. Competition in sanitary napkins remains intense, with both domestic and overseas brands still using aggressive promotions to gain share. We therefore think flat sanitary napkin sales in 2026 would already be a decent outcome. We estimate sales will be down 0.5% y/y in 2026, followed by only 1.5%/2.0% growth in 2027/28. Margin-wise, sanitary napkin GPM above 60% in 2025 was high, and we expect it to normalize to around 59-60% in 2026-28.
- **Diapers are also under pressure, despite mix upgrade.** Premium QMo and adult diapers should still grow, but growth has slowed. Anerle remains in decline due to weak demand and competition. ASP may improve as the mix shifts toward higher-end and adult products, but volume decline is likely to more than offset ASP improvement. We expect diaper sales to decline 1.0% in 2026, stay flattish in 2027 and grow only 1.0% in 2028. Overall, diapers should not be a major earnings driver in the near term.
- **Operating margin is likely to edge down as the company invests more in channels and branding.** Although gross margin should remain in a stable range, Hengan is likely to increase spending on brand investment, online channels, and new retail expansion. These channels can help defend market share and reach younger consumers, but they also bring additional promotional and platform costs. We forecast the opex ratio to rise from 23.2% in 2025 to 23.3%/23.5%/23.4% in 2026/27/28, driving OPM down from 10.6% in 2025 to around 9.5-9.6% in 2026-28.
- **Net, earnings in 2026 are still under pressure.** We now forecast net profit to decline in 2026, before only a modest recovery in 2027/28. The 2026 earnings decline is mainly driven by lower GPM and a higher opex ratio. NPM is likely to step down from 11.0% in 2025 and stay at 10.1-10.2% in 2026-28. We think Hengan's earnings are still relatively defensive, supported by its strong tissue franchise, stable pulp cost and high hygiene margin. However, we do not see strong earnings acceleration, given continued competition in sanitary napkins, and channel mix dilution from higher online / new retail penetration.

- **Valuation-wise, Hengan is not expensive, but rerating catalysts are limited.** The stock is trading at around 10x 2026 P/E, with a dividend yield of around 6%. We think the valuation is undemanding and the dividend yield should provide downside support, especially given the company's stable cash generation. However, without stronger revenue acceleration or clearer evidence that hygiene products can return to sustainable growth, we think a higher multiple is hard to justify. Remain EW.

Estimate changes

We slightly revise up our revenue forecasts by 0.1% and 0.6% for 2026 and 2027, mainly due to higher revenue forecasts for all three main products. We introduce our 2028 forecasts and now expect revenue growth to be 4%/3%/4% in 2026/27/28, respectively.

We increase our GPM assumptions by 0.7ppt and 0.6ppt for 2026 and 2027 on lower raw material prices. We expect blended GPM to be 32.8%/32.9%/33.0% in 2026/27/28.

We raise the opex ratio forecasts by 0.6ppt and 0.7ppt for 2026 and 2027, reflecting increasing penetration in online and new retail channels, and heavier investment for branding. We now estimate the opex ratio to be 23.3%/23.5%/23.4% in 2026/27/28, respectively.

As a result, we revise up our net profit forecasts by 2.4% and 2.2% for 2026 and 2027, mainly driven by higher GPM. We estimate NPM will be 10.2%, 10.1%, and 10.1% in 2026, 2027, and 2028, respectively.

Exhibit 3: Hengan: Summary of changes

(Rmb mn)	New			Old			
	2026e	2027e	2028e	2026e	2027e	2026e	2027e
Sales	23,967	24,695	25,570	23,952	24,549	0.1%	0.6%
Core Products	21,405	22,005	22,745	21,244	21,787	0.8%	1.0%
- Sanitary napkins	5,185	5,263	5,369	5,151	5,229	0.7%	0.7%
- Disposable diapers	1,347	1,347	1,360	1,286	1,304	4.7%	3.3%
- Tissue paper	14,873	15,396	16,016	14,807	15,254	0.4%	0.9%
Skincare and others	2,562	2,690	2,824	2,707	2,762	-5.4%	-2.6%
Gross Profit	7,863	8,134	8,432	7,686	7,946	2.3%	2.4%
Operating Expenses	(5,583)	(5,793)	(5,983)	(5,432)	(5,589)	2.8%	3.6%
Operating Income excl Others	2,280	2,341	2,448	2,254	2,356	1.2%	-0.7%
Net Profit	2,449	2,491	2,582	2,393	2,438	2.4%	2.2%
EPS (basic; Rmb)	2.15	2.19	2.27	2.10	2.14	2.6%	2.4%
EPS (diluted; Rmb)	2.15	2.19	2.27	2.10	2.14	2.6%	2.4%
Gross Margin	32.8%	32.9%	33.0%	32.1%	32.4%	0.7%	0.6%
SG&A to Sales	23.3%	23.5%	23.4%	22.7%	22.8%	0.6%	0.7%
Operating Margin	9.5%	9.5%	9.6%	9.4%	9.6%	0.1%	-0.1%
Net Margin	10.2%	10.1%	10.1%	10.0%	9.9%	0.2%	0.2%
Tax Rate	22.0%	22.0%	22.0%	22.7%	22.7%	-0.7%	-0.7%

Source: Morgan Stanley Research, E=Morgan Stanley Research estimates

Valuation

Our PT falls by 4% from HK\$24.0 to HK\$23.0 on lower government grants/tax refunds and more conservative working capital assumptions. We derive our PT from a DCF valuation methodology using a 14% WACC and 1% terminal growth (both unchanged).

We cut our bull and bear case values accordingly. Our bull case value of HK\$31.5 is derived from a target P/E of 13x 2026e, and our bear case value of HK\$17.6 is derived from a target P/E of 9x 2026e.

Exhibit 4: Hengan: DCF Valuation

DCF	2026	2027	2028	2029	2030	
	2026E	2027E	2028E	2029E	2030E	Term Val
Operating Income (EBIT)	2,280	2,341	2,448	2,827	3,207	3,239
Tax	(570)	(585)	(612)	(707)	(802)	(810)
Government Grants (tax return)	227	227	227	227	227	227
Depreciation/Amortization (excl g/w)	1,010	1,004	1,001	998	996	996
Changes in Net Working Capital	(269)	(53)	(167)	(185)	(186)	(186)
Capex and Investment	(1,012)	(1,012)	(1,012)	(1,012)	(1,012)	(1,012)
Free Cash Flow	1,666	1,921	1,886	2,149	2,430	2,454
Discount Rate = 14%						
Long-term growth rate=1%						
Discount Factor		0.88	0.77	0.67	0.59	4.55
PV FCF		1,685	1,451	1,450	1,439	11,178
Sum of PV FCF	17,203					
Less Net Debt	(7,577)					
Equity Value	24,781					
Per Share Value - Rmb	21.8					
Per Share Value - HK\$	23.0					
WACC	14.0%					
Terminal Growth	1.0%					

Source: Morgan Stanley Research, E=Morgan Stanley Research estimates

Exhibit 5: Hengan: Bull/Base/Bear Cases

Hengan	2021	2022	2023	2024	2025	2026e	2027e	2028e	2024-26e CAGR	2025-27e CAGR
Base Case Scenario										
Sales	20,790	22,616	23,768	22,669	23,069	23,967	24,695	25,570	3%	3%
% YoY	-7%	9%	5%	-5%	2%	4%	3%	4%		
Net Profit	3,274	1,925	2,801	2,298	2,535	2,449	2,491	2,582	3%	-1%
% YoY	-29%	-41%	45%	-18%	10%	-3%	2%	4%		
EPS - Rmb	2.79	1.66	2.41	2.02	2.23	2.15	2.19	2.27	3%	-1%
EPS - HKD	3.31	1.97	2.77	2.16	2.39	2.31	2.35	2.43		
Implied Target P/E		12	8	11	10	10	10	9		
Base Value					HKD	23.0				
Bull Case Scenario										
Sales	20,790	22,616	23,768	22,669	23,069	25,165	27,165	28,127	5%	9%
% YoY	-7%	9%	5%	-5%	2%	9%	8%	4%		
% Higher than Base						5%	10%	10%		
Net Profit	3,274	1,925	2,801	2,298	2,535	2,572	2,740	2,840	6%	4%
% YoY	-29%	-41%	45%	-18%	10%	1%	7%	4%		
% Higher than Base						5%	10%	10%		
EPS - HKD	3.31	1.97	2.77	2.16	2.39	2.42	2.58	2.67		
Target P/E		16	11	15	13	13	12	12		
Bull Value					HKD	31.5				
Bear Case Scenario										
Sales	20,790	22,616	23,768	22,669	23,069	21,570	23,461	24,291	-2%	1%
% YoY	-7%	9%	5%	-5%	2%	-6%	9%	4%		
% Lower than Base						10%	5%	5%		
Net Profit	3,274	1,925	2,801	2,298	2,535	2,082	2,242	2,324	-5%	-6%
% YoY	-29%	-41%	45%	-18%	10%	-18%	8%	4%		
% Lower than Base						15%	10%	10%		
EPS - HKD	3.31	1.97	2.77	2.16	2.39	1.96	2.11	2.19		
Target P/E		9	6	8	7	9	8	8		
Bear Value					HKD	17.6				

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates

Hengan: Financial Summary

Exhibit 6: Hengan: Financial summary

RMB millions; YE December	2024	2025	2026E	2027E	2028E	RMB millions; YE December	2024	2025	2026E	2027E	2028E
Income Statement						Cash Flow Statement					
Revenue	22,669	23,069	23,967	24,695	25,570	Net Income	2,298	2,535	2,449	2,491	2,582
- Sanitary Napkins	5,678	5,211	5,185	5,263	5,369	Depreciation & Amortization	978	1,041	1,010	1,004	1,001
- Disposable Diapers	1,261	1,360	1,347	1,347	1,360	Other Non-Cash Items	(514)	176	(2)	(2)	(2)
- Tissue Paper	13,422	14,169	14,873	15,396	16,016	Change in Net Working Capital	310	54	(269)	(53)	(167)
- Skincare and Others	2,308	2,329	2,562	2,690	2,824	Operating Cash Flow	3,072	3,806	3,188	3,440	3,414
Cost of Goods Sold	(15,344)	(15,263)	(16,104)	(16,562)	(17,138)	Capital Expenditure	(1,015)	(1,012)	(1,012)	(1,012)	(1,012)
Gross Profit	7,325	7,806	7,863	8,134	8,432	Other	905	(2,383)	(740)	77	77
Operating Expenses	(5,110)	(5,362)	(5,583)	(5,793)	(5,983)	Net Cash Used in Investing	(110)	(3,395)	(1,753)	(936)	(936)
Operating Income-b/f Others	2,214	2,444	2,280	2,341	2,448	Loans Borrowed/ Repaid	0	0	0	0	0
Other Income (Expense)	1,140	1,041	1,137	1,132	1,132	Share Repurchase/ Issue	0	0	0	0	0
Operating Income	3,355	3,484	3,417	3,472	3,580	Dividends - Minority & Ordinary	(1,627)	(1,627)	(1,627)	(1,627)	(1,627)
Net Interest Income (Expense)	(383)	(279)	(279)	(281)	(272)	Other	(1,965)	0	0	0	0
Income Before Tax	2,972	3,205	3,138	3,191	3,308	Net Cash from Financing	(3,592)	(1,627)	(1,627)	(1,627)	(1,627)
Provision for Income Tax	(675)	(672)	(690)	(702)	(728)	Change in Cash	(630)	(1,217)	(191)	877	852
Minority Interest	2	2	2	2	2	Effect of FX	54	2,571	0	0	0
Net Income	2,298	2,535	2,449	2,491	2,582	Prior Yr Balance	8,022	7,446	8,800	8,609	9,486
Net Income (Recur)	2,024	2,389	2,275	2,321	2,412	Ending Balance	7,446	8,800	8,609	9,486	10,338
EBITDA	3,193	3,485	3,290	3,345	3,450	RMB millions; YE December					
Fully Diluted S/O (mn)	1,141	1,138	1,138	1,138	1,138	Ratio Analysis					
EPS - basic	2.02	2.23	2.15	2.19	2.27	YoY Change					
EPS - fully diluted	2.02	2.23	2.15	2.19	2.27	Revenue	-5%	2%	4%	3%	4%
Payout Ratio	70.8%	64.2%	66.4%	65.3%	63.0%	Gross Profit	-9%	7%	1%	3%	4%
Effective Tax Rate	22.7%	21.0%	22.0%	22.0%	22.0%	Operating Profit (B/f Others)	-25%	10%	-7%	3%	5%
						Operating Income	-16%	4%	-2%	2%	3%
						EBITDA	-17%	9%	-6%	2%	3%
						Net Income	-18%	10%	-3%	2%	4%
						Net Income (ex. FX & Govt grants)	-20%	18%	-5%	2%	4%
Balance Sheet						Margins					
Cash & Cash Equivalent	7,446	8,800	8,609	9,486	10,338	Gross Margin	32.3%	33.8%	32.8%	32.9%	33.0%
Other Short Term Deposits	6,816	6,816	6,816	6,816	6,816	Opex/ Sales	22.5%	23.2%	23.3%	23.5%	23.4%
Trade and Other Receivables	2,254	2,320	2,437	2,540	2,658	Operating Margin (B/f Others)	9.8%	10.6%	9.5%	9.5%	9.6%
Inventories - Net	4,798	4,464	4,665	4,753	4,871	Operating Margin	14.8%	15.1%	14.3%	14.1%	14.0%
Other Current Assets	1,626	1,674	1,789	1,895	2,016	EBITDA Margin	14.1%	15.1%	13.7%	13.5%	13.5%
Total Current Assets	22,940	24,073	24,316	25,490	26,699	Net Margin	10.1%	11.0%	10.2%	10.1%	10.1%
PP&E	8,320	9,098	9,585	9,479	9,337	Net Margin (ex. FX & Govt grants)	8.9%	10.4%	9.5%	9.4%	9.4%
Construction-In-Progress	1,287	446	614	580	587	Returns					
Other Intangible Assets	1,784	1,827	1,914	1,986	2,055	ROE - EOP	11%	12%	11%	11%	11%
Other Long Term Assets	5,474	7,738	7,738	7,738	7,738	ROIC - EOP	11%	13%	11%	11%	12%
Total Assets	39,804	43,182	44,167	45,272	46,417	Efficiency					
Short Term Loans	10,670	15,618	15,618	15,618	15,618	Day's Receivables - EOP	61	63	63	65	66
Trade and Other Payables	5,230	5,093	5,258	5,501	5,693	Day's Inventory - EOP	114	107	106	105	104
Other Current Liabilities	177	203	203	203	203	Day's Payables - EOP	124	122	119	121	121
Total Current Liabilities	16,077	20,914	21,079	21,322	21,514	Gearing					
Long Term Debt	2,420	116	116	116	116	Current Ratio	1.43	1.15	1.15	1.20	1.24
Convertible Bonds	0	0	0	0	0	Net Debt to Equity	-28%	-32%	-30%	-32%	-35%
Other Long Term Liabilities	162	178	178	178	178	Valuation					
Total Liabilities	18,659	21,209	21,374	21,617	21,808	P/E (x)	11	10	10	10	10
Common Stock	3,026	3,091	3,091	3,091	3,091	PEG	(5.9)	1.6	(6.9)	3.3	1.2
Retained Earnings	17,895	18,661	19,483	20,347	21,302	P/Sales	1.2	1.1	1.1	1.1	1.0
Minority Interest	225	221	219	217	215	EV/EBITDA	7	6	6	6	5
Total Stockholders' Equity	21,146	21,973	22,793	23,656	24,609	Dividend Yield (%)	6.2%	6.2%	6.2%	6.2%	6.2%
Total Liabilities & SE	39,804	43,182	44,167	45,272	46,417						

Source: Company data, Morgan Stanley Research (e) estimates

Risk Reward – Hengan International Group (1044.HK)

Tissue gains share, while hygiene recovery remains weak

PRICE TARGET HK\$23.00

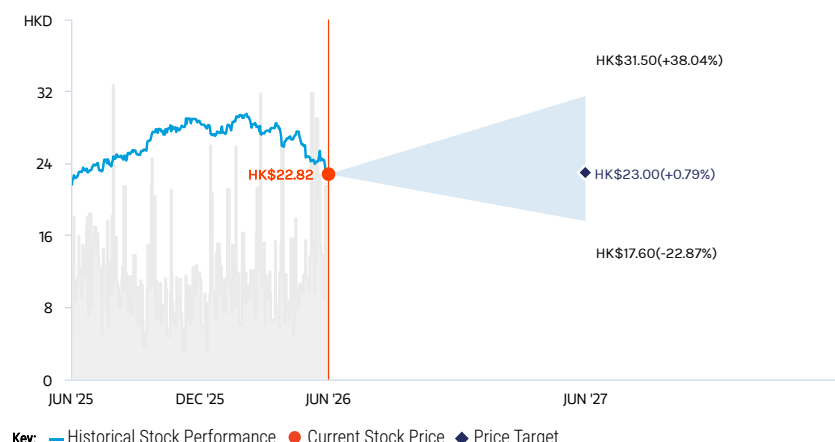
Base case, discounted cash flow model. Key assumptions: 14% WACC and 1% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

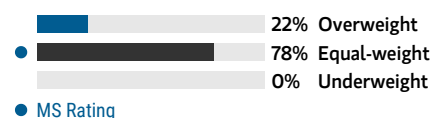


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- The company will keep gaining volume share in the tissue industry, while margin still depends on the industry competitive landscape.
- Its GPM will likely stay broadly stable to slightly lower, as stable raw material cost supports margins, while rising online/new retail mix caps further upside.
- The company's sanitary napkins business is still under pressure given intensified market competition.
- EW, given fair valuation and stable DPS commitment.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$31.50

13x bull-case 2026e EPS

Launch of new products and new A&P investments enhance pricing power and sales trend: 1) Sales growth to be faster in 2026-27, as Hengan is able to gain more market share from peers. 2) Price of key raw materials like pulp to drop more significantly than expected.

BASE CASE

HK\$23.00

10x base-case 2026e EPS

Tissues to lead sales growth: We estimate sales CAGR of 3% in 2025-27e. Pulp prices drop from 3Q24 to benefit gross margin but offset by increasing promotions and higher penetration in online and new retail channels. Dividend yield to stay at ~5-6% in 2026 and beyond.

BEAR CASE

HK\$17.60

9x bear-case 2026e EPS

Growth limited amid intensifying industry competition: 1) More time is needed to re-energize top-line growth while tissue growth is decelerating. 2) Pulp prices to stay at high levels, resulting in slower-than-expected profitability recovery. 3) Industry to remain promotional and further dampen margin.

Risk Reward – Hengan International Group (1044.HK)

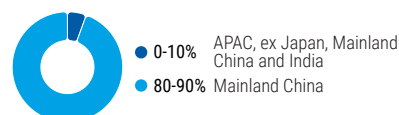
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Core HPC Categories Growth (%)	1.9	3.2	2.8	3.4
Sanitary Napkins Sales Growth (%)	(8.2)	(0.5)	1.5	2.0
Diapers Sales Growth (%)	7.9	(1.0)	(0.0)	1.0
Tissue Paper Sales Growth (%)	5.6	5.0	3.5	4.0

INVESTMENT DRIVERS

- Successful rollout of new products
- Upgrades to management guidance
- Potential price hikes in HPC categories

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Sales turnaround in sanitary napkin
- Successful launch of new products
- Market share gain in tissue
- Significant drop in raw material prices
- Effective price increase to offset pulp price pressure

RISKS TO DOWNSIDE

- Unfavorable raw material prices
- Increasing competition from e-commerce and emerging brands in sanitary napkin
- Unable to pass through cost pressure to consumers
- Ineffective business restructuring

OWNERSHIP POSITIONING

Inst. Owners, % Active 43%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)
22,021.4 23,404.5 23,966.6

EBITDA (Rmb, mn)
3,177.6 3,290 3,793.1 4,518.8

Net income (Rmb, mn)
2,171.3 2,449 2,365.0 2,487.2

EPS (Rmb)
1.9 2.2 2.1 2.4

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

C&S Paper (UW, New Price Target Rmb5.7)

- Revenue growth should be mostly volume / share-gain driven, rather than pricing driven.** In 2025, C&S Paper's tissue revenue grew 8% y/y, while tissue sales volume grew 11%, suggesting ASP / mix was still a drag. We think the company can continue to gain share as some smaller players exit and it leverages its national production base and multi-channel network, but we do not see strong pricing power yet. In our model, tissue revenue grows 10.0%/8.0%/5.0% in 2026/27/28, driving total revenue growth of 9.9%/7.9%/5.0%. We think the growth is still more volume-led than price-led, and revenue momentum may moderate as the base gets higher.
- Online and new retail channels help drive volume, but may continue to dilute pricing.** The company has built a six-channel sales system across traditional distributors, KA (key account), AFH (away-from-home), e-commerce, new retail and export channels, while online channels focus on high-margin products, new products, and trend products. However, higher online / new retail penetration usually requires more promotion and sharper pricing, which can offset part of the volume growth benefit. We therefore think channel expansion can support volume and market share, but may not translate into meaningful ASP or margin upside.
- GPM should stay broadly stable, but upside looks limited.** C&S Paper's tissue GPM improved to 34.0% in 2025, up 3ppt y/y, helped by raw material prices, product mix and channel optimization. In our model, overall GPM stays largely stable at 33.8%/33.9%/34.0% in 2026/27/28, vs. 34.0% in 2025. We think this is reasonable because pulp prices are not likely to remain as favorable as in 2025, while channel competition and promotional intensity remain constraints. Although product premiumization and efficiency improvement can help offset cost pressure, we do not assume meaningful GPM upside from here.
- Operating leverage is limited, despite some mild expense ratio improvement.** We project the selling expense ratio to edge down from 21.4% in 2025 to 21.3%/21.0%/21.0% in 2026/27/28, while the admin expense ratio stays broadly stable at 6.6-6.7%. As a result, OPM is likely to stay almost flat at 5.0% in 2026, before gradually recovering to 5.5%/5.6% in 2027/28. We think the company still needs to spend on branding, e-commerce / new retail expansion and product innovation, so operating leverage should be gradual rather than strong.
- Net, earnings recovery is visible but still not exciting.** We forecast net profit to grow 14% in 2026, followed by 20%/7% growth in 2027/28, reaching Rmb365mn/Rmb436mn/Rmb468mn. Net margin should remain low at 3.8%/4.2%/4.3% in 2026/27/28. We acknowledge the company's tissue share-gain potential and product upgrade efforts, but we think the earnings recovery is still not strong enough given the lack of meaningful pricing power, small contribution from non-tissue categories, and ongoing channel investment needs.
- Valuation-wise, the stock does not look attractive enough, especially given its low ROE profile.** While C&S Paper is a leading tissue brand with stable share-gain potential, we think the current valuation already prices in a fair amount of earnings recovery. More importantly, ROE was only 5.8% in 2025 and is expected to recover to only 6.5% in 2026E. Given limited margin upside, weak pricing power and only moderate earnings recovery from a low base, we think risk-reward is not

compelling. Remain UW.

Estimate changes

We revise down our revenue forecast for 2026 by 2% based on 2025 below-expectation performance, while we raise our forecast for 2027 by 1% reflecting continuous share gains. We introduce our 2028 forecasts and now expect revenue growth to be 10%/8%/5% during 2026/27/28 respectively.

We revise up our gross margin assumption by 0.2ppt for 2026 on high GPM in 2025, but we trim GPM by 0.7ppt in 2027, considering pressure from new retail channel expansion. We now estimate GPM to be 33.8%/33.9%/34.0% in 2026/27/28, respectively.

We cut our net profit forecasts by 20% and 27% for 2026 and 2027, mainly driven by lower other income. We estimate NPM will be 3.8%/4.2%/4.3% in 2026/27/28, respectively.

Exhibit 7: C&S Paper: Earnings Estimate Revisions

Rmb mn; YE December	New			Old		New vs. Old	
	2026E	2027E	2028E	2026E	2027E	2026E	2027E
Net Sales	9,646	10,410	10,926	9,842	10,334	-2%	1%
Cost of Goods Sold	(6,389)	(6,876)	(7,207)	(6,534)	(6,758)	-2%	2%
Gross Profit	3,257	3,534	3,719	3,307	3,576	-2%	-1%
Operating Expenses	(2,772)	(2,961)	(3,110)	(2,826)	(2,936)	-2%	1%
Business tax & Surcharges	(73)	(78)	(82)	(64)	(67)	13%	17%
Selling & Distribution Expenses	(2,059)	(2,191)	(2,300)	(1,978)	(2,046)	4%	7%
Administrative Expenses	(640)	(692)	(727)	(784)	(823)	-18%	-16%
Operating Profit	485	572	610	482	639	1%	-10%
Finance Expense	(11)	(3)	2	(15)	(12)	-25%	-71%
Other Income, Net	12	12	13	69	71	-83%	-83%
Profit Before Tax	486	581	624	537	698	-9%	-17%
Income Tax Expenses	(122)	(145)	(156)	(80)	(105)	51%	39%
Net Profit	365	436	468	456	593	-20%	-27%
Recurring Net Profit	350	421	453	387	523	-10%	-20%
EBITDA	742	824	857	511	668	45%	23%
Earnings per share (Rmb)							
EPS - Reported	0.28	0.34	0.36	0.35	0.46	-20%	-26%
EPS - Recurring	0.27	0.33	0.35	0.30	0.40	-9%	-19%
Growth (% yoy)							
Sales	9.9%	7.9%	5.0%	8.0%	5.0%	1.9%	2.9%
Cost of Sales	10.2%	7.6%	4.8%	6.4%	3.4%	3.9%	4.2%
Gross Profit	9.1%	8.5%	5.2%	11.2%	8.1%	-2.1%	0.4%
Selling and Distribution Expense	9.4%	6.4%	5.0%	8.0%	3.4%	1.4%	3.0%
Administrative Expense	11.2%	8.2%	5.1%	7.9%	5.1%	3.3%	3.1%
Profit Before Tax	13.1%	19.5%	7.4%	38.3%	30.1%	-25.3%	-10.6%
Net Profit	14.4%	19.5%	7.4%	38.3%	30.1%	-23.9%	-10.6%
Recurring Net Income	12.1%	20.2%	7.6%	48.1%	35.1%	-36.0%	-14.8%
EPS - Reported	13.3%	19.5%	7.4%	38.3%	30.1%	-25.0%	-10.6%
Margins (%)							
Gross Margin	33.8%	33.9%	34.0%	33.6%	34.6%	0.2%	-0.7%
Opex/sales	28.7%	28.4%	28.5%	28.7%	28.4%	0.0%	0.0%
Business tax & Surcharges	0.8%	0.8%	0.8%	0.7%	0.7%	0.1%	0.1%
Selling & Distribution Expenses	21.3%	21.0%	21.0%	20.1%	19.8%	1.3%	1.3%
Administrative Expenses	6.6%	6.6%	6.7%	8.0%	8.0%	-1.3%	-1.3%
Operating Margin	5.0%	5.5%	5.6%	4.9%	6.2%	0.1%	-0.7%
EBITDA Margin	7.7%	7.9%	7.8%	5.2%	6.5%	2.5%	1.4%
Profit Before Tax Margin	5.0%	5.6%	5.7%	5.5%	6.8%	-0.4%	-1.2%
Net Profit Margin	3.8%	4.2%	4.3%	4.6%	5.7%	-0.9%	-1.6%
ROE	6.3%	7.1%	7.3%	7.5%	9.1%	-1.2%	-1.9%

Source: Morgan Stanley Research, E=Morgan Stanley Research estimates

Valuation

We roll our valuation forward to 2026 from 2025, our new price target rises from Rmb5.6

to Rmb5.7, based on 20x 2026e P/E (decreased from 22x previously). Compared with its 5-year average P/E multiple of 24x NTM, we expect C&S to trade lower for the next 12 months, given the ongoing intensified competition in the industry.

We adjust our bull and bear case values by similar magnitudes accordingly. Our new bull case value of Rmb10.2 is derived from a target P/E of 30x 2026e, while our bear case value of Rmb3.6 is derived from a target P/E of 17x 2026e.

Exhibit 8: C&S Paper: P/E Valuation

C&S Paper - P/E valuation	2021	2022	2023	2024	2025	2026e	2027e	2028e	2024-26e CAGR	2025-27e CAGR
Base Case Scenario										
Revenue	9,150	8,570	9,801	8,151	8,780	9,646	10,410	10,926	9%	9%
Net Income	581	350	333	77	319	365	436	468	117%	17%
% YoY	-36%	-40%	-5%	-77%	313%	14%	20%	7%		
EPS - Rmb	0.44	0.27	0.26	0.06	0.25	0.28	0.34	0.36		
P/E (PT Implied)	13	21	22	95	23	20	17	16		
Base Value						Rmb 5.7				
Bull Case Scenario										
Net Income	581	350	333	77	319	437	501	538	138%	25%
% YoY	-36%	-40%	-5%	-77%	313%	37%	15%	7%		
% Higher than Base						20%	15%	15%		
EPS - Rmb	0.44	0.27	0.25	0.06	0.25	0.34	0.39	0.42		
P/E (PT Implied)	23	38	41	174	41	30	26	24		
Bull Value						Rmb 10.2				
Bear Case Scenario										
Net Income	581	350	333	77	319	273	349	375	88%	5%
% YoY	-36%	-40%	-5%	-77%	313%	-14%	28%	7%		
% Lower than Base						-25%	-20%	-20%		
EPS - Rmb	0.44	0.27	0.25	0.06	0.25	0.21	0.27	0.29		
P/E (PT Implied)	8	14	14	61	15	17	13	12		
Bear Value						Rmb 3.6				

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates

C&S Paper: Financial Summary

Exhibit 9: C&S Paper: Financial summary

Income Statement	2024	2025	2026e	2027e	2028e	Cash Flow	2024	2025	2026	2027	2028
<i>Rmbmn, YE Dec</i>						<i>Rmbmn, YE Dec</i>					
Revenue	8,151	8,780	9,646	10,410	10,926	Profit After Tax	76	316	365	436	468
Cost of Sales	5,648	5,795	6,389	6,876	7,207	Depre. & Amort.	412	420	257	251	247
Gross Profit	2,502	2,985	3,257	3,534	3,719	Finance cost	40	66	31	31	31
Business tax & Surcharges	53	75	73	78	82	Change in W/C	(881)	511	97	(42)	(35)
Selling & Distribution Exp.	1,760	1,883	2,059	2,191	2,300	Others	4	26	28	29	29
Admin Exp.	642	575	640	692	727	Operating Cash Flow	(349)	1,340	777	704	741
Operating Profit	47	451	485	572	610	Capex	(428)	(284)	(294)	(305)	(310)
Net Financial Income	(17)	(33)	(11)	(3)	2	investments income	17	20	-	-	-
Other Income, Gains	68	11	12	12	13	Others	(24)	385	(21)	-	-
Profit Before Tax	98	430	486	581	624	Investing Cash Flow	(435)	121	(315)	(305)	(310)
Income Tax Expenses	22	114	122	145	156	Net borrowings	438	(315)	-	-	-
Minority interest	(1)	(2)	-	-	-	Equity financing	(108)	(92)	(53)	(109)	(131)
Net Profit	77	319	365	436	468	Financing Cash Flow	201	(562)	(83)	(140)	(161)
EBIT	47	451	485	572	610	Fx/Others	2	(31)	-	-	-
EBITDA	459	871	742	824	857	Net Change in Cash	(580)	868	379	259	270
EPS - basic (Rmb)	0.06	0.25	0.28	0.34	0.36	Cash at year beginning	2,068	1,488	2,355	2,734	2,993
EPS - diluted (Rmb)	0.06	0.25	0.28	0.34	0.36	Cash at end of year end	1,488	2,355	2,734	2,993	3,263

Balance Sheet	2024	2025	2026e	2027e	2028e	Ratio Analysis	2024	2025e	2026e	2027e	2028e
Cash	1,581	2,436	2,815	3,074	3,344	Growth (%)					
Inventories	2,059	1,464	1,750	1,884	1,975	Sales	-17%	8%	10%	8%	5%
Trade Receivables	-	-	-	-	-	Gross Profit	-23%	19%	9%	8%	5%
Other Receivables	462	21	37	40	41	EBIT	-83%	854%	8%	18%	7%
Other Current Assets	377	352	352	352	352	EBITDA	-34%	90%	-15%	11%	4%
Total Current Assets	5,485	5,306	6,062	6,530	6,937	Net Profit	-77%	313%	14%	20%	7%
Investment Property	29	27	27	27	27	Margins (%)					
PP&E	3,031	2,859	2,794	2,748	2,714	Gross Margin	30.7%	34.0%	33.8%	33.9%	34.0%
Construction in progress	90	42	92	142	192	Opex	30.1%	28.9%	28.7%	28.4%	28.5%
Intangible assets	312	336	360	381	398	EBIT	0.6%	5.1%	5.0%	5.5%	5.6%
Other Non-Currents	62	69	69	69	69	EBITDA	5.6%	9.9%	7.7%	7.9%	7.8%
Total Non-Current Assets	3,851	3,651	3,660	3,685	3,718	Net Profit	0.9%	3.6%	3.8%	4.2%	4.3%
Total Assets	9,336	8,957	9,722	10,215	10,655	Return (%)					
Short Term Borrowings	1,348	1,098	1,098	1,098	1,098	Average ROA	1%	4%	4%	4%	4%
Trade Payables	1,014	739	1,138	1,243	1,303	Average ROE	1%	6%	6%	7%	7%
Tax Payable	44	96	96	96	96	ROA Ending	1%	4%	4%	4%	4%
Other Payables	694	734	810	871	913	ROE Ending	1%	6%	6%	7%	7%
Total Current Liabilities	3,720	3,353	3,827	3,995	4,096	Efficiency					
Long term debt	62	-	-	-	-	Days Inventory	133	92	100	100	100
Deferred income	123	114	114	114	114	Days Trade Receivable	44	40	39	38	38
Total Non-Current Liabilities	193	122	122	122	122	Days Trade Payable	66	47	65	66	66
Total Liabilities	3,913	3,475	3,949	4,116	4,218	Cash Cycle	111	86	74	72	72
Share Capital	1,294	1,286	1,286	1,286	1,286	Asset Turnover (x)	0.9	1.0	1.0	1.0	1.0
Reserves	573	551	551	551	551	Valuation					
Minority Interest	9	21	-	-	-	P/E	118.3	28.4	25.1	21.0	19.5
Total Equity	5,423	5,482	5,773	6,099	6,436	P/BV	1.7	1.7	1.7	1.6	1.5
Total Equity and Liabilities	9,336	8,957	9,722	10,215	10,655	EV/EBITDA	19.7	9.0	10.0	8.7	8.0
						EPS	0.06	0.25	0.28	0.34	0.36
						DPS	-	0.04	0.09	0.10	0.11
						FCF Yield	-9%	11%	5%	4%	4%
						Div yield	0.0%	0.6%	1.2%	1.4%	1.5%
						Shr Out - weighted avg (mn)	1,294	1,286	1,286	1,286	1,286

Source: Company data, Morgan Stanley Research (e) estimates

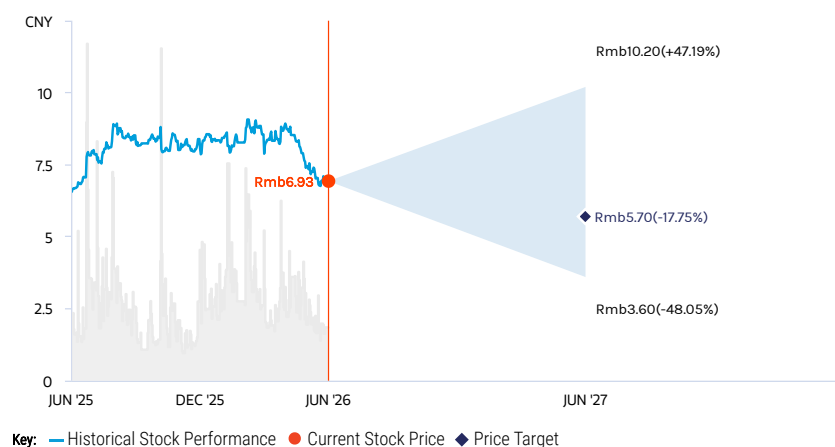
Risk Reward – C&S Paper Co Ltd (002511.SZ)

Less Pressure from Pulp Prices, But Harder to Balance Sales and Margins

PRICE TARGET Rmb5.70

Base case, derived by applying a target 2026e P/E of 20x, Compared with its 5-year average P/E multiple of 24x NTM, we expect C&S to trade lower for the next 12 months, given the ongoing intensified competition in the industry.

RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- We forecast a 9% sales CAGR over 2025-27 with a relatively stable GPM.
- But market competition could intensify, given key peers' market share-oriented strategies. Moreover, C&S's future growth could come from products and channels that are margin-dilutive. Thus, profitability going forward could be structurally lower than during previous raw material downcycles.

Risk Reward Themes

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb10.20

30x 2026e bull-case EPS

Sales and profitability recover better than expected: We assume NPM recovers to mid-to-high single digit in 2026-28, thanks to faster-than-expected top-line growth, more significant drop in pulp price, and more stringent control on expenses.

BASE CASE

Rmb5.70

20x 2026e base-case EPS

Sales to meet company targets and NPM to gradually recover: We expect 9% sales and 17% NP CAGRs, 2025-27e, with NPM recovering to 3-4% in 2025-27, lower than 2019-20 level of low-teens% NPM.

BEAR CASE

Rmb3.60

17x 2026e bear-case EPS

Sales growth slows while pulp price stays high, continuing to weigh on profitability: We assume slower than expected recovery of NPM as 1) margin pressure persists as pulp price stays high; 2) higher opex ratio required to defend market share; 3) weak company execution. We assume NPM stays at low-single-digit% level in the next three years.

Risk Reward – C&S Paper Co Ltd (002511.SZ)

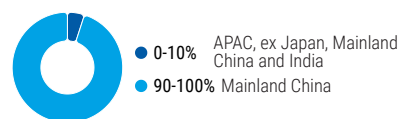
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Tissue Paper Sales Growth (%)	8.2	10.0	8.0	5.0
Sales Volume Growth (%)	6.2	2.0	2.0	2.0
ASP Growth (%)	1.9	7.8	5.9	2.9

INVESTMENT DRIVERS

- Margin erosion
- Ineffective price hike
- Trend of pulp price
- Industry competition

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Successful price hike.
- More significant pulp price drop.
- Faster recovery of demand.

RISKS TO DOWNSIDE

- Intensified industry competition.
- Slower-than-expected pulp price drop.
- More expenses required to sustain top-line growth.

OWNERSHIP POSITIONING

Inst. Owners, % Active 41.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) ◆ 9,646.1

Note: There are not sufficient brokers supplying consensus data for this metric

EBITDA (Rmb, mn) ◆ 752

Note: There are not sufficient brokers supplying consensus data for this metric

Net income (Rmb, mn) ◆ 365

Note: There are not sufficient brokers supplying consensus data for this metric

EPS (Rmb) ◆ 0.3

Note: There are not sufficient brokers supplying consensus data for this metric

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Shanghai Jahwa(UW, New Price Target Rmb14.0)

- **Jahwa is back to growth, but recovery is still brand-investment led.** 2025 revenue grew 11% y/y to Rmb6.3bn, driven by domestic online growth and beauty category recovery. We forecast revenue to grow 11%/10%/10% in 2026/27/28, broadly in line with its double-digit revenue growth target for 2026. However, we think this is still more of a brand recovery and channel execution, rather than a strong margin expansion.
- **Liushen offline sales should return to growth, online momentum continues.** Liushen's online business delivered strong growth in 2025, while offline decline narrowed to LSD%. Management expects offline to turn positive in 2026, supported by packaging upgrade, channel inventory cleanup, and new retail channel penetration. Product-wise, Liushen will continue to push the upgraded Mosquito Repellent Egg, fragrance shower gel and the new Liushen baby-care line. We think this should stabilize the personal care business, and model personal care revenue growth of 6%/7%/7% for 2026/27/28. That said, Liushen is still a relatively mature category, so we do not expect it to be the main source of group-level growth acceleration.
- **Beauty brands are the key growth engine, led by Herborist and Dr. Yu.** Beauty revenue grew 54% y/y in 2025, mainly driven by Herborist and Dr. Yu. Herborist's Advanced Whitening Revitalizing Mask already reached over Rmb200 mn GMV in 2025, with 2026 target above Rmb300 mn. Dr. Yu continues to benefit from rapid growth on Douyin and new product launch including Skin Barrier Recovery Moisturizing Cream and Skin Barrier Recovery Oil-Control Moisturizing Gel. Management expects Herborist and Dr. Yu to maintain high DD% online growth in 2026, and each to achieve Rmb1 bn revenue. We expect beauty revenue growth at 30%/20%/18% in 2026/27/28, making it the biggest driver of Jahwa's top-line growth.
- **Online and Douyin remain important growth drivers, but also raise the execution bar.** Domestic online mix has increased meaningfully, and Douyin is now one of the fastest-growing channels. The company also builds in-house content teams for Herborist, Dr. Yu and Liushen to improve content quality, conversion and long-term ROI. We think this is strategically positive, but the channel mix also means Jahwa needs to keep investing in content, traffic and brand building, which limits near-term operating leverage.
- **GPM should improve only gradually despite a better category mix.** Jahwa's GPM improved by 5ppt y/y to 62.6% in 2025, mainly driven by higher beauty mix, higher-margin new products, and efficiency gains from cost optimization. We forecast GPM to edge up to 63.5%/64.1%/64.5% in 2026/27/28. However, upside is likely limited, as raw material cost volatility and industry competition remain key headwinds.
- **2026 will still be a heavy spending year.** The 2025 selling expense ratio rose to 48.0%, mainly due to higher brand investment, celebrity endorsement and marketing campaigns. Management expects the 2026 A&P expense ratio to stay broadly flat vs. 2025, but with spending tilted more toward core brands such as Liushen and marketing investment front-loaded into 1H26. Channel fees should be

optimized within each platform, but the rising Douyin mix will keep the overall selling expense ratio high. We forecast the selling expense ratio to be 48.0%/47.7%/47.5% in 2026/27/28, and the admin and R&D expense ratio at 12.4%/12.3%/12.2%. This means operating leverage should only come through gradually.

- **Net, we expect earnings to recover, but not as fast as revenue.** We forecast net profit to grow 23% in 2026, then 17%/15% in 2027/28, reaching Rmb330 mn/Rmb385 mn/Rmb444 mn. Net margin stays at only 4.7%/5.0%/5.2% in 2026/27/28, still below historical highs. The key reason is that Jahwa is still rebuilding brand equity and consumer engagement, especially in beauty and online channels. We like the direction of brand recovery, but think the market needs more evidence that Herborist and Dr. Yu can scale profitably while Liushen offline stabilizes.
- **Valuation-wise, we think the current valuation is too demanding.** Jahwa is trading at >35x 2026P/E on our estimates, which looks expensive given limited earnings visibility. The stock already prices in a meaningful recovery in core brands. We apply 28x 2026E P/E to derive target price of Rmb14, which we think already gives credit to beauty brand acceleration and Liushen stabilization. Given the expensive valuation and ongoing profit pressure, we remain UW.

Estimate changes

We revise up revenue forecast by 5% for both 2026 and 2027, mainly due to quicker-than-expected revenue growth from the beauty segment. We introduce our 2028 forecast, and now expect revenue growth to be 11%/10%/10% during 2026/27/28 respectively.

We raise our gross margin assumption by 0.3ppt and 0.2ppt for 2026 and 2027, reflecting better revenue mix. We now estimate GPM to be 63.5%/64.1%/64.5% in 2026/27/28, respectively.

Our opex ratio estimate increases by 4.7ppt and 4.9ppt for 2026 and 2027, due to higher A&P expenses. We now estimate the opex ratio to be 61.1%/60.7%/60.4% in 2026/27/28, respectively.

As a result, we cut our net profit forecasts by 35% and 39% for 2026 and 2027, mainly driven by the higher opex ratio. We estimate NPM will be 4.7%, 5.0%, and 5.2% in 2026, 2027, and 2028, respectively.

Exhibit 10: Shanghai Jahwa: Summary of changes

(Rmb mn)	New			Old		Change	
	2026e	2027e	2028e	2026e	2027e	2026e	2027e
Sales	7,031	7,735	8,518	6,725	7,371	5%	5%
Gross Profit	4,467	4,957	5,490	4,251	4,707	5%	5%
Operating Expenses	(4,298)	(4,696)	(5,145)	(3,796)	(4,116)	13%	14%
Operating Income	169	261	345	455	591	-63%	-56%
Net Profit	330	385	444	505	628	-35%	-39%
EPS (basic; Rmb)	0.49	0.57	0.66	0.75	0.93	-35%	-39%
Gross Margin	63.5%	64.1%	64.5%	63.2%	63.9%	0.3%	0.2%
SG&A to Sales	61.1%	60.7%	60.4%	56.4%	55.8%	4.7%	4.9%
Operating Margin	2.4%	3.4%	4.1%	6.8%	8.0%	-4.4%	-4.6%
Net Margin	4.7%	5.0%	5.2%	7.5%	8.5%	-2.8%	-3.5%
Tax Rate	15.0%	15.0%	15.0%	11.3%	11.3%	3.8%	3.8%

Source: Morgan Stanley Research, E=Morgan Stanley Research estimates

Valuation

We roll our valuation forward to 2026 from 2025, our price target decreases from Rmb16 to Rmb14, based on 28x 2026e P/E (unchanged).

We trim our bull and bear case values by similar magnitudes accordingly. Our new bull case value of Rmb24 is derived from a target P/E of 38x 2026e, while our bear case value of Rmb10 is derived from a target P/E of 25x 2026e.

Exhibit 11: Shanghai Jahwa: P/E Valuation

Shanghai Jahwa - P/E valuation	2022	2023	2024	2025	2026e	2027e	2028e	2023-25e CAGR	2024-26e CAGR	2025-27e CAGR
Base Case Scenario										
Revenue	7,106	6,598	5,679	6,317	7,031	7,735	8,518	-2%	11%	11%
% YoY	-7%	-7%	-14%	11%	11%	10%	10%			
Net Income	472	500	(833)	268	330	385	444	-27%	nm	20%
% YoY	-27%	6%	-267%	-132%	23%	17%	15%			
EPS - Rmb	0.70	0.74	-1.24	0.40	0.49	0.57	0.66			
NPM	6.6%	7.6%	-14.7%	4.2%	4.7%	5.0%	5.2%			
Implied P/E	20	19	-11	35	29	24	21			
Target P/E					28					
Implied P/S		1.3	1.4	1.7	1.5					
Base Value				Rmb	14.0					
Bull Case Scenario										
Revenue	7,106	6,598	5,679	6,317	7,734	8,895	10,222	-2%	17%	19%
% YoY	-7%	-7%	-14%	11%	22%	15%	15%			
% Higher than Base					10%	15%	20%			
Net Income	472	500	(833)	268	429	501	577	-27%	nm	37%
% YoY	-27%	6%	-267%	-132%	60%	17%	15%			
% Higher than Base					30%	30%	30%			
EPS - Rmb	0.69	0.74	-1.23	0.40	0.64	0.75	0.86			
Implied P/E	35	33	-19	60	38	32	28			
Target P/E					38					
Bull Value				Rmb	24.0					
Bear Case Scenario										
Revenue	7,106	6,598	5,679	6,317	6,398	6,962	7,240	-2%	6%	5%
% YoY	-7%	-7%	-14%	11%	1%	9%	4%			
% Lower than Base					-9%	-10%	-15%			
Net Income	472	500	(833)	268	280	328	377	-27%	nm	11%
% YoY	-27%	6%	-267%	-132%	5%	17%	15%			
% Lower than Base					-15%	-15%	-15%			
EPS - Rmb	0.69	0.74	-1.23	0.40	0.42	0.49	0.56			
Implied P/E	14	14	-8	25	24	21	18			
Target P/E					25					
Bear Value				Rmb	10.0					

Source: Company data, Morgan Stanley Research estimates

Shanghai Jahwa: Financial Summary

Exhibit 12: Shanghai Jahwa: Financial Summary

Income Statement	2024	2025	2026e	2027e	2028e	Cash Flow	2024	2025	2026e	2027e	2028e
<i>Rmbmn, YE Dec</i>						<i>Rmbmn, YE Dec</i>					
Revenue	5,679	6,317	7,031	7,735	8,518	Profit After Tax	(833)	268	330	385	444
Cost of Sales	(2,408)	(2,363)	(2,564)	(2,778)	(3,028)	Depreciation and Amortisation	222	227	92	99	105
Gross Profit	3,271	3,954	4,467	4,957	5,490	Finance cost	36	11	45	45	45
						Change in W/C	137	408	200	78	95
Selling & Distribution Exp.	(2,652)	(3,032)	(3,374)	(3,687)	(4,042)	Other Operating Activities	712	(113)	(19)	(27)	(31)
Admin Exp.	(761)	(789)	(871)	(951)	(1,039)	Operating Cash Flow	273	801	648	580	659
Business tax & Surcharges	(43)	(50)	(53)	(58)	(64)	Capex	(96)	(77)	(178)	(178)	(178)
Operating Profit	(184)	83	169	261	345	investments income	84	177	43	45	48
Net Financial Income	(31)	(7)	(7)	(5)	(3)	Other Investing Activities	(94)	(639)	(19)	(26)	(26)
Other Income, Gains	(615)	239	226	199	181	Investing Cash Flow	(106)	(538)	(154)	(158)	(156)
Profit Before Tax	(830)	315	388	454	523	Net borrowings	145	522	-	-	-
Income Tax Expenses	(3)	(47)	(58)	(68)	(79)	Other Financing Activities	(691)	(761)	(179)	(210)	(238)
Net Profit	(833)	268	330	385	444	Financing Cash Flow	(545)	(240)	(179)	(210)	(238)
						FX Gain / (Loss)	(8)	(31)	-	-	-
EBIT	(184)	83	169	261	345	Net Change in Cash	(387)	(7)	315	211	265
EBITDA	37	311	261	359	451	Cash at Beginning of Year	929	542	535	851	1,062
						Cash at End of Year	542	535	851	1,062	1,327
EPS - basic (Rmb)	-1.24	0.40	0.49	0.57	0.66						
EPS - diluted (Rmb)	-1.24	0.40	0.49	0.57	0.66						
Balance Sheet	2024	2025	2026e	2027e	2028e	Ratio Analysis	2024	2025	2026e	2027e	2028e
Cash and Cash Equivalents	550	543	859	1,070	1,335	Growth (%)					
Inventories	673	622	675	731	797	Sales	-14%	11%	11%	10%	10%
Account Receivables	771	566	630	693	764	Gross Profit	-16%	21%	13%	11%	11%
Other Receivables	34	45	50	55	61	EBIT	-159%	-145%	103%	54%	32%
Other Current Assets	3,234	3,026	3,028	3,035	3,044	EBITDA	-93%	734%	-16%	38%	25%
Total Current Assets	5,262	4,803	5,241	5,585	6,000	Net Profit	-267%	-132%	23%	17%	15%
Fixed Assets	751	684	754	826	895	Margins (%)					
Long-term Equity Investment	256	160	160	160	160	Gross Margin	57.6%	62.6%	63.5%	64.1%	64.5%
Intangible assets	768	757	767	773	777	Opex	-60.8%	-61.3%	-61.1%	-60.7%	-60.4%
Other Non-Current Assets	2,908	3,852	3,852	3,852	3,852	EBIT	-3.2%	1.3%	2.4%	3.4%	4.1%
Total Non-Current Assets	4,683	5,453	5,532	5,612	5,684	EBITDA	0.7%	4.9%	3.7%	4.6%	5.3%
Total Assets	9,944	10,256	10,774	11,197	11,684	Net Profit	-14.7%	4.2%	4.7%	5.0%	5.2%
Account Payables	500	575	770	834	909	Return (%)					
Tax Payables	52	65	65	65	65	Average ROA	-8%	3%	3%	4%	4%
Other Payables	1,188	1,197	1,325	1,463	1,625	Average ROE	-12%	4%	5%	5%	6%
Other Current Liabilities	943	1,010	1,010	1,010	1,010	ROA (Period End)	-8%	3%	3%	3%	4%
Total Current Liabilities	2,682	2,848	3,170	3,372	3,609	ROE (Period End)	-12%	4%	5%	5%	6%
Long-term Borrowings	-	-	-	-	-	Efficiency					
Deferred Revenue	411	382	382	382	382	Inventory Days	102	96	96	96	96
Other LT Liabilities	159	130	130	130	130	A/R Days	50	33	33	33	33
Total Non-Current Liabilities	570	512	512	512	512	A/P Days	76	89	110	110	110
Total Liabilities	3,253	3,359	3,682	3,884	4,121	Cash Cycle	76	40	19	19	19
Share Capital	672	672	672	672	672	Asset Turnover (x)	0.6	0.6	0.7	0.7	0.7
Reserves	1,273	1,292	1,292	1,292	1,292	Valuation					
Retained Earnings	4,721	4,963	5,158	5,379	5,629	P/E	-18.9	58.8	35.9	30.7	26.6
Others	25	(31)	(31)	(31)	(31)	P/BV	2.4	2.3	1.7	1.6	1.6
Total Equity	6,692	6,897	7,092	7,312	7,563	EV/EBITDA	409.9	50.7	44.1	31.5	24.5
Total Equity and Liabilities	9,944	10,256	10,774	11,197	11,684	EPS	(1.24)	0.40	0.49	0.57	0.66
						DPS	-	0.20	0.25	0.29	0.33
						Div yield	0.0%	0.9%	1.4%	1.6%	1.9%

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates

Risk Reward – Shanghai Jahwa United Co. Ltd. (600315.SS)

Turnaround takes time

PRICE TARGET Rmb14.00

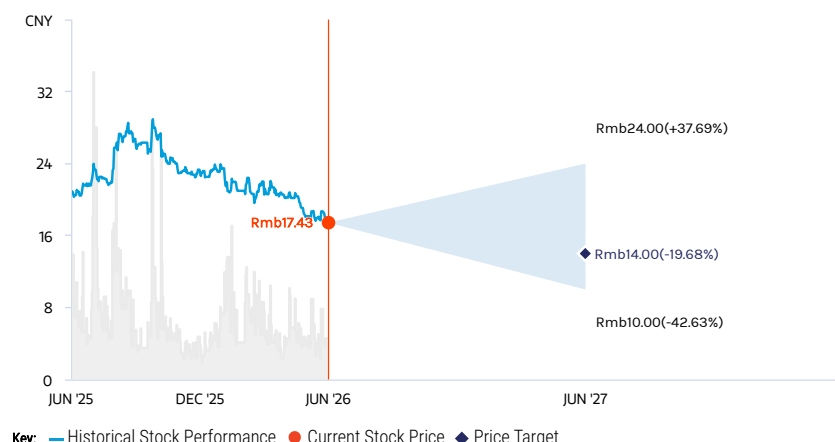
Rmb14: base case, 28x 2026 EPS estimate, below its 5Y average. We forecast 11% sales growth on a compounding basis in 2025-27e.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

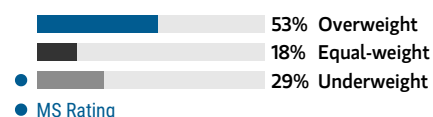


Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- For a turnaround, we think Jahwa's team and execution are more important than its strategy
- We think its renewed focus on brands, products and online channels is reasonable, while we think the key will be its new executives, BU heads and their execution. The scope of personnel replacement this time appears to be larger than prior rounds, suggesting a higher chance of a different result.
- We see progress in Jahwa after the management transition, but also think it's too early to call an inflection, especially given that the beauty industry remains highly competitive and promotional.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Negative*

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb24.00

38x 2026e bull case EPS

Faster growth of skincare brands and e-com channel: We assume 1) an overall sales CAGR of 19%, 2025-27, supported by stronger growth of skincare and online channel; 2) gross margin continues to trend up, supported by a higher contribution from high-margin skincare brands, and 3) a net income rebound from 2026, driven mainly by the turnaround and continued mix upgrades in 2026

BASE CASE

Rmb14.00

28x 2026e base case EPS

Skincare business grows below its target trajectory: We assume 1) 11% sales growth in 2026. 2) NPM remain relatively stable in 2026. As the competition becomes more intense, it might be hard for the company to achieve its desired growth for the skincare.

BEAR CASE

Rmb10.00

25x 2026e bear case EPS

Recovery of skincare brands takes longer than expected: We assume 1) a limited sales recovery in 2026 despite low base as its skincare brands might grow slower amid lukewarm industry demand and intensified competition; and 2) net margin to stay at the low level, despite modest NPM recovery, limited by higher marketing expenses and lower profitability from emerging channels.

Risk Reward – Shanghai Jahwa United Co. Ltd. (600315.SS)

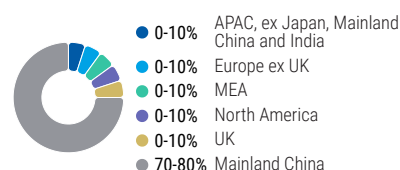
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Skincare Sales Growth (%)	NA	NA	NA	(2.0)
Personal Care and Home Care Sales Growth (%)	NA	NA	NA	3.0
Baby and Maternity Products Sales Growth (%)	NA	NA	NA	(2.0)
JV and Agent Brands Sales Growth (%)	NA	NA	NA	0.0

INVESTMENT DRIVERS

- Success of restructuring.
- Operating margin improvement.
- New product launches.
- The pace of recovery for the Herborist brand.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Successful product rollouts.
- Faster-than-expected online expansion.
- Faster-than-expected skincare growth.

RISKS TO DOWNSIDE

- Slowdown in beauty products spending growth.
- Weaker-than-expected online sales growth.
- Unsuccessful product rollouts.

OWNERSHIP POSITIONING

Inst. Owners, % Active 95%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 6,814.8 7,379.0

EBITDA (Rmb, mn) 259.7 765.4

Net income (Rmb, mn) 211.0 513.4

EPS (Rmb) 0.3 0.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Lillian Lou; Dustin Wei.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of May 29, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Anhui Gujing Distillery Company Limited, Chacha Food Co Ltd, Chagee Holdings Ltd, China Mengniu Dairy, China Tourism Group Duty Free, Foshan Haitian Flavouring and Food, Hangzhou Greatstar Industrial Co Ltd, Li Ning, Muyuan Foodstuff Co. Ltd, Samsonite Group.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Eastroc Beverages, Foshan Haitian Flavouring and Food, Laopu Gold, Muyuan Foodstuff Co. Ltd, WH Group.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Eastroc Beverages, Health and Happiness (H&H), Laopu Gold, Midea Group Co Ltd., Samsonite Group, WH Group.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from ANTA Sports Products, Chagee Holdings Ltd, Crystal International Group Ltd., Eastroc Beverages, Foshan Haitian Flavouring and Food, Giant Biogene Holding Co Ltd, Gongniu Group Co Ltd, Gree Electric Appliances Inc of Zhuhai, Haidilao International Holding Ltd, Haier Smart Home Co Ltd, Health and Happiness (H&H), Hengan International Group, Laopu Gold, Midea Group Co Ltd., Muyuan Foodstuff Co. Ltd, Nongfu Spring Co Ltd, Pop Mart International Group, Proya Cosmetics Co. Ltd., Samsonite Group, Sun Art Retail Group Limited, Super Hi, Techtronic Industries Co Ltd, Topsports International Holdings Ltd, Weilong Delicious Global Holdings Ltd, WH Group, Yili Industrial, ZJLD Group.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from ANTA Sports Products, Bosideng International Holdings Limited, Chow Tai Fook Jewellery Group Ltd, Gree Electric Appliances Inc of Zhuhai, Haidilao International Holding Ltd, Haier Smart Home Co Ltd, Health and Happiness (H&H), Midea Group Co Ltd., Pop Mart International Group, Samsonite Group, Stella International Holdings Ltd, Techtronic Industries Co Ltd, Topsports International Holdings Ltd, Uni-President China, WH Group, Yanjing Brewery, Yue Yuen Industrial Hldg, Yum China Holdings Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: ANTA Sports Products, Chagee Holdings Ltd, Crystal International Group Ltd., Eastroc Beverages, Foshan Haitian Flavouring and Food, Giant Biogene Holding Co Ltd, Gongniu Group Co Ltd, Gree Electric Appliances Inc of Zhuhai, Haidilao International Holding Ltd, Haier Smart Home Co Ltd, Health and Happiness (H&H), Hengan International Group, Laopu Gold, Midea Group Co Ltd., Muyuan Foodstuff Co. Ltd, Nongfu Spring Co Ltd, Pop Mart International Group, Proya Cosmetics Co. Ltd., Samsonite Group, Sun Art Retail Group Limited, Super Hi, Techtronic Industries Co Ltd, Topsports International Holdings Ltd, Weilong Delicious Global Holdings Ltd, WH Group, Yili Industrial, ZJLD Group.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: ANTA Sports Products, Bosideng International Holdings Limited, Chow Tai Fook Jewellery Group Ltd, Eastroc Beverages, Gree Electric Appliances Inc of Zhuhai, Haidilao International Holding Ltd, Haier Smart Home Co Ltd, Health and Happiness (H&H), Hengan International Group, Laopu Gold, Midea Group Co Ltd., Nongfu Spring Co Ltd, Pop Mart International Group, Samsonite Group, Stella International Holdings Ltd, Techtronic Industries Co Ltd, Topsports International Holdings Ltd, Uni-President China, WH Group, Yanjing Brewery, Yue Yuen Industrial Hldg, Yum China Holdings Inc.

Morgan Stanley & Co. LLC makes a market in the securities of Super Hi.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management,

commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

C&S Paper Co Ltd (002511.SZ) - As of 06/23/26 GMT in CNY
Industry : China/Hong Kong Consumer



Hengan International Group (1044.HK) - As of 06/23/26 GMT in HKD
Industry : China/Hong Kong Consumer



Shanghai Jahwa United Co. Ltd. (600315.SS) - As of 06/23/26 GMT in CNY
Industry : China/Hong Kong Consumer



Stock Rating History: 6/1/21 : E/I; 7/7/23 : U/I

Price Target History: 4/22/21 : 50; 4/14/22 : 35; 8/2/22 : 36; 7/7/23 : 24; 4/2/24 : 15; 11/1/24 : 13; 8/11/25 : 16

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research

may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of ANTA Sports Products, Budweiser Brewing Company APAC Ltd, China Mengniu Dairy, China Resources Beer Holdings Co Ltd, China Tourism Group Duty Free, Giant Biogene Holding Co Ltd, Haidilao International Holding Ltd, Laopu Gold, Li Ning, Mao Geping Cosmetics Co., Ltd, Midea

Group Co Ltd., Nongfu Spring Co Ltd, Pop Mart International Group, Shenzhou International Group Holdings, Techtronic Industries Co Ltd, Tsingtao Brewery Co Ltd listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/22/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$69.50
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$3.85
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb6.93
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb18.50
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$24.70
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$10.74
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$22.82
Li Ning (2331.HK)	O (10/09/2019)	HK\$15.76
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$54.50
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$160.00
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb60.45
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.74
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.43
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.02
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$2.51
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.41
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.08
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb35.69
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb98.47
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$52.95
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb56.79
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$12.22
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb11.74
Ecovacs Robotics Co Ltd (603486.SS)	E (10/30/2023)	Rmb53.80
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb33.04
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$29.14

Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.40
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.46
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$434.80
Super Hi (HDL.O)	E (01/14/2025)	US\$12.58
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb40.59
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb82.54
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.46
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.22
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$15.89
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$21.46
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb44.22
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb120.63
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$108.90
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	O (04/14/2020)	Rmb36.99
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb19.98
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$19.98
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,241.41
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb81.27
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$82.65
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb78.28
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$29.62
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb33.95
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$41.72
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb113.61
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb22.86
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$9.99
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$44.80
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.92
Uni-President China (0220.HK)	E (07/25/2025)	HK\$6.84
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.99
WH Group (0288.HK)	O (02/24/2025)	HK\$8.61
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb76.55
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb41.25
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb10.28
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb24.63
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$41.53
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.55
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$16.58
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.67
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb39.47
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb29.43
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb31.22
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$40.70
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.39
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$121.90
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$12.97

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.